



Investing in property

There are various ways to make money from property, but each involves a lot of research and management, and also potential risk.

How it works

Unlike many other investments, such as buying shares or bonds, investors do not need to come up with the full sum to purchase a property, just enough for a deposit. Most lenders require around 25–30 percent of the total value, and a loan (mortgage) can be obtained to pay for the balance.

The aim of investing in property to build wealth is to buy when the value is low and sell for a profit, then use any profit to finance additional property purchases. There are several ways to do this. A person can buy and renovate a house then sell it for a profit, or buy in a cheap area and wait for the

area to rise in value. Buying in a depressed market can reap rewards when conditions improve. Buying to let can generate an income that pays the mortgage and excess can also be used for a deposit for another investment property.

30%
the value lost
on house prices
in the US from
2004 to 2009

Monitor market prices

Property prices can sometimes shift dramatically up or down from year to year. Investors can profit from significant hikes by selling at the optimum point.



How to invest

Making money from property is a game of ups and downs that can entail short-term setbacks as well as gains on the road to the finish line. Success in the long run relies on the investor's strategy. There are several factors to consider: careful financial planning; good timing (to take advantage of rises and falls in the property market); thorough research of locations; appraisal of commercial versus residential investment options; and a clear understanding of economic indicators such as interest rates.



NEED TO KNOW

- › **Market value** The amount that a buyer would be willing to pay for a property (or other asset) at any given time.
- › **Below market value (BMV)** The pricing of a property that is much lower than the average price of other similar type properties in the area (i.e. those priced at market value).
- › **Buy-to-let (BTL) mortgage** A mortgage for investors who are buying a property with a view to renting it out for a period of time.
- › **Buy-to-sell mortgage** A mortgage designed for investors who are buying property that will be sold shortly afterwards.
- › **Capitalization rate** The rate of potential return on an investment property; the higher the better.
- › **Operating expenses** The cost of the day-to-day administration of a property (or business).
- › **Credit report** A detailed report on a person's credit history that includes a numerical credit rating, which indicates creditworthiness.

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